



The major trading markets, at a glance

FX, rates, commodities, vol: four markets, four very different trading logics.

TWO CROSS-MARKET CONCEPTS

Carry: return earned from simply holding a position, before any price move

Contango ($F > S$) vs Backwardation ($F < S$): shape of the forward curve

FX TRADING

- The most liquid market in the world, open 24 hours a day.
- Spot, forward, carry trade (borrow in a low-yield currency, invest in a high-yield one).
- Driven by interest rate differentials and trade flows.

RATES TRADING

- Played on the yield curve (steepening, flattening, inversion).
- Sensitivity measured by duration and convexity.
- Highly reactive to central bank decisions.

COMMODITIES TRADING

- Contango (storage cost) vs backwardation (scarcity/convenience yield).
- Strong seasonality (energy, agriculture) and geopolitical sensitivity.
- Roll yield: impact of rolling futures contracts on performance.

VOL TRADING

- Implied vol (expected) vs realized vol (observed).
- Volatility smile: far out-of-the-money options cost more than Black-Scholes predicts.
- VIX = market stress gauge, often anti-correlated with equities.

The other markets, in brief

REPO

Short-term financing collateralized by securities — the backbone of interbank liquidity.

CASH EQUITY

Buying/selling shares outright — the building block of any equity management business.

SYSTEMATIC TRADING

Decisions driven by rules/algorithms rather than a trader's discretion.

MICROSTRUCTURE

Study of the order book, the bid-ask spread, and how orders impact price.

KEY TAKEAWAYS

1. Each market has its own dominant driver: central bank rates (FX/rates), storage/seasonality (commo), market stress (vol).
2. Contango/backwardation isn't unique to commodities: the same logic applies to FX and rates curves.
3. Systematic trading and microstructure aren't markets in themselves — they're approaches/lenses that apply across all the markets above.



Comparison table

CRITERION	FX	RATES	COMMO	VOL
Main driver	Rate differential	Central banks	Physical supply/demand	Market stress
Typical horizon	Intraday to a few months	Weeks to years	Weeks to seasons	Days to weeks
Dominant instrument	Spot & forward	Futures & rate swaps	Futures	Options & variance swaps
Key risk	Central bank risk	Duration risk	Storage/roll risk	Gamma/vega risk

Real-world examples

FX CARRY TRADE

Borrow in JPY (low rate) to invest in AUD (higher rate) and capture the rate differential, as long as the yen doesn't appreciate too much.

US CURVE STEEPENER

Bet on a steepening of the US yield curve by going long short-term rates / short long-term rates.

OIL IN CONTANGO

WTI in contango penalizes ETFs that roll their futures every month: they buy higher than they sell.

SELLING VOLATILITY

Sell an index straddle to collect the premium, betting that realized volatility will come in lower than implied volatility.

Quick glossary

CARRY

Return earned from holding a position, independent of any price move.

DURATION

Sensitivity of a bond's price to a change in interest rates.

ROLL YIELD

Gain or loss generated by rolling a futures contract into the next expiry.

VOLATILITY SMILE

Implied vol curve by strike, higher away from the money than at the center.

BID-ASK SPREAD

Gap between the best buy and sell price quoted in the market.

SLIPPAGE

Difference between an order's expected price and its actual execution price.

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